



SL-02
RECEIVED

MAY 09 2008

Division of Reclamation,
Mining and Safety

May 7, 2008

via certified mail 7004 2890 0003 2043 0222

Ms. Erica Crosby
Division of Reclamation, Mining and Safety
1313 Sherman St. Rm. 215
Denver, CO 80203

RE: Request for Bond Release and Closure ✓
Permit M-1977-341, Larimer County Quarry, CEMEX, Inc.

Dear Ms. Crosby:

CEMEX, Inc. is requesting a bond release and complete acreage reduction/closure of the remaining 5 acres of the Larimer county Quarry as described below. The remaining 5 acres of the former quarry is located in the SE ¼ and the NE ¼ of the NE ¼ of Section 35 and of the NW ¼ of Section 36, Township 4 North, Range 70 West, 6th P.M. within Pit A. The area is marked on an earlier map with the indication "approx. 5 acres still being reclaimed (waiting for sufficient growth)." The area has achieved sufficient growth at this time. The future use for this area is stormwater storage within a residential development.

We believe that CEMEX has satisfied all applicable portions of the Reclamation Plan requirements for the requested area, and is therefore eligible for bond release and closure. We have enclosed earlier reduction requests and inspections to simplify the review process.

Property within the permit boundary is owned by:

Mr. Terry Parrish
Parrish Ranch Conservation Partnership
15715 Parrish Rd
Berthoud, CO 80513
(303) 665-3420

Please do not hesitate to contact me at (303) 823-2115 if any additional information is required.

Sincerely,

Monica Sowders
Environmental Manager
5134 Ute Hwy, PO Box 529
Lyons, Co, 80540

cc: Mr. Terry Parrish

Lyons Plant

P.O. Box 529, Lyons, CO 80540. USA, (303) 823-2100, Fax (303) 832-2199



Banks and Gesso, LLC ✓

720 Kipling St., Suite 117
Lakewood, Colorado 80215

(303) 274-4277
Fax (303) 274-8329
www.banksandgesso.com

July 8, 2004
VIA CERTIFIED MAIL

BR-1 ✓

RECEIVED

JUL 12 2004 ✓

Division of Minerals and Geology

Mr. Carl Mount
Division of Minerals and Geology
1313 Sherman Street, Room 215
Denver, CO 80203

Re: Request for Bond Release and Acreage Reduction
Permit #M-1977-341, Larimer County Quarry, CEMEX, Inc. ✓

Dear Carl:

On behalf of our client, Cemex, Inc., we request a bond release and acreage reduction for at least 283.8 acres of the 288.8 acre Larimer County Quarry as described below.

Property Ownership

Property within the permit boundary is owned by:

Mr. Terry Parrish
Parrish Ranch Conservation
Partnership
15715 Parrish Road
Berthoud, CO 80513
(303) 665-3420

Poudre Valley Rural Electric
Authority
attn: Ron Carey, General Manager
PO Box 272550
Fort Collins, CO 80527-2550
(970) 226-1234

Release Request

Cemex is requesting that 283.8 acres located in the N ½, N ½ of S ½, and the SE ¼ of SW ¼ of Section 35 and W ½ of NW ¼ Section 36, Township 4 North, Range 70 West, 6th P.M., be released from the permit boundary and bonding requirements. This area constitutes the majority of the permitted area.

The remaining 5 acres, located in the SE ¼ of the NE ¼ of Section 35 and SW ¼ of the NW ¼ of Section 36, Township 4 North, Range 70 West, 6th P.M., within Pit A (and shown on the attached Site Map as a cross-hatched area) does not likely have sufficient growth at this time to allow for a total release. However, if during the Division's release inspection you feel sufficient growth has occurred, then we request a total release of the entire permitted area from further reclamation requirements and a full bond release.

Remaining Reclamation Cost Estimate

The only reclamation activity that may remain at this site is a potential reseeding of the 5 acre area within Pit A if sufficient growth has not or does not occur. The cost to reseed this area would be approximately \$2,000 (\$400 per acre x 5 acres). Therefore, we request that the bond at this site be reduced from \$28,000 to \$2,000.

As agent for Cemex, Inc., we believe that Cemex has satisfied all applicable portions of the Reclamation Plan requirements for the requested area, and is therefore eligible for this acreage reduction and bond release. Please let me know if you require additional information to approve this request. Thank you.

Sincerely,
BANKS AND GESSO, LLC



Maureen Jacoby
Project Manager

attachment: Site Map

cc: Mr. George Martin, Cemex, Inc.
Mr. John Lohr, Cemex, Inc.

MAP TAKEN FROM DMG FILE
PERMIT #M-1977-341

WAGONWHEEL ROAD

QUARRY ACCESS ROAD

PIT A

RECLAIMED

APPROX. 5 ACRES STILL
BEING RECLAIMED
(WAITING FOR SUFFICIENT
GROWTH)

EXISTING QUARRY
PERMIT NO. 77341

RELOCATED
ROAD

BUFFER AREA

POWER TRANSMISSION LINE

PARRISH
QUARRY

12.8 ACRES

SOUTHWESTERN PORTLAND CEMENT
PROPERTY LINE

SITE DESCRIPTION: SECTION 35
AND 36 IN TOWNSHIP 4 NORTH
RANGE 70 WEST. 6TH P.M.

SOUTHWESTERN
PORTLAND CEMENT
COMPANY



COLORADO DIVISION OF MINERALS AND GEOLOGY
MINERALS PROGRAM INSPECTION REPORT
PHONE: (303) 866-3567

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The Division of Minerals and Geology has conducted an inspection of the mining operation noted below. This report documents observations concerning compliance of the mining operation with the permit and the regulations of the Mined Land Reclamation Board. The report notes 1) Areas of successful compliance; 2) Problems and suggested corrective actions and/or 3) Possible violations to be considered for possible enforcement action by the Mined Land Reclamation Board. **OPERATORS SHOULD READ THIS REPORT CAREFULLY BECAUSE IT MAY REQUIRE CORRECTIVE ACTION AND/OR RESPONSES TO THE DIVISION IN ORDER TO AVOID CONSIDERATION OF POSSIBLE ENFORCEMENT ACTION BY THE MINED LAND RECLAMATION BOARD.**

MINE NAME: Larimer Quarry OPERATOR: CEMEX, Inc.
COUNTY: Larimer MINERAL: SDG TYPE OF OPERATION: 112
INSPECTOR(S): Erica Crosby
MINE ID # OR PROSPECTING ID #: M-1977-341
INSPECTION DATE: 4/20/04 DATE OF COMPLAINT: 12/10/03
INSPECTOR'S INITIALS: ESC TIME OF DAY (MILITARY): 10:30
INSPECTION TYPE CODE⁽¹⁾: MI POST INSP. CONTACTS⁽²⁾: CT
JOINT INSP. AGENCY CODE⁽²⁾: NO REASON FOR INSP. CODE⁽³⁾: CT
WEATHER CODE⁽⁴⁾: CR BOND CALCULATION TYPE⁽⁵⁾: NN
OP. REP. PRESENT: George Martin; CEMEX, Inc.

1. INSPECTION TYPE CODE - [CL-IN: IL=Illegal Operation, MI=Monitoring, MP=Mineral Prospect, SI=Surety-related, PR=Pre-operation]
2. POST INSPECTION CONTACTS AND JOINT INSPECTION AGENCY CODE - [CL-AG: NO=None, BL=BLM, CH=Colo. Dept. Health; CL=Land Board, CT=Citizen; CW=Wildlife, FS=Forest Service, HW=Hwy. Dept., LG=Local Government, SE=State Engr.]
3. REASON FOR INSPECTION CODE - [CL-RS: AG=Other Agency Request, CT=Citizen Complaint, IE=Normal I&E Program, HP=High Priority, PY=Priority]
4. WEATHER CODE - [CL-WE: CL=Cloudy, CR=Clear, IN=Inclement - prevented inspection, RN=Raining, SN=Snowing, WD=Windy]
5. BOND CALCULATION TYPE: - [BC=Complete Bond, BP=Partial Bond, NN=None]

This list identifies the environmental and permit parameters inspected and gives a categorical evaluation of each. **IF PB OR PV IS INDICATED, YOU SHOULD READ THE FOLLOWING PAGES CAREFULLY IN ORDER TO ASSURE COMPLIANCE WITH THE TERMS OF YOUR PERMIT AND APPLICABLE RULES AND REGULATIONS.** If PV is indicated, you will be notified under separate cover when the Mined Land reclamation Board will consider possible enforcement action.

GENERAL INSPECTION TOPICS

(AR) RECORDS Y (FN) FINANCIAL WARRANTY Y (RD) ROADS Y
(HB) HYDROLOGIC BALANCE Y (BG) BACKFILL & GRADING Y (EX) EXPLOSIVES Y
(PW) PROCESSING WASTE/TAILING Y (SF) PROCESSING FACILITIES Y (TS) TOPSOIL Y
(MP) GENL MINE PLAN COMPLIANCE. Y (FW) FISH & WILDLIFE Y (RV) REVEGETATION Y
(SM) SIGNS AND MARKERS Y (SP) STORM WATER MGT PLAN ... Y (SB) COMPLETE INSP Y
(ES) OVERBURDEN/DEV. WASTE Y (SC) EROSION/SEDIMENTATION Y (RS) RECL PLAN/COMP .. Y
(AT) ACID OR TOXIC MATERIALS NA (OD) OFF-SITE DAMAGE NA (ST) STIPULATIONS NA

Y - Inspected and Found in Compliance
N - Not Inspected

PV - Inspected and Possible Violations Noted
NA - Not Applicable

PB - Inspected and Problems Noted

MINE ID # OR PROSPECTING ID # M-1977-341
INSPECTION DATE 4/20/04

INSPECTOR'S INITIALS ESC

OBSERVATIONS

This was an inspection of the Larimer Quarry conducted by Erica Crosby of the Division of Minerals and Geology. George Martin of CEMEX, Inc. was present during the inspection. The purpose of the inspection was to inspect areas of concern identified by Mr. Terry Parrish in a citizen complaint letter received by the Division on December 10, 2003. The inspection was delayed until the spring of 2004 due to weather conditions. Mr. Parrish was contacted on two occasions regarding the inspection (via e-mail and phone message), but did not attend the inspection.

The letter sent by Mr. Parrish notes the following concerns;

- The Parrish Ranch Conservation Partnership, new owners of the land, do not agree that "revegetation" has occurred as stated in the TR from Cemex to the State of Colorado of July 31, 2003. New soil was brought up to restabilize the land, however, Cemex did not plant any grass seed through the entire growing season. The areas are overgrown with vine weed and some yellow flowered weed.
- The Parrish Ranch still maintains that the large chunks of rock that were rolled over the edge and down into the draw and waterway as we discussed during your inspection in the spring, should be cleaned up by Cemex before release of the bond.
- The roads are not essential to ranch operations, but they may have limited potential for future development.

The Larimer Quarry is a surface limestone operation with a permit area of 208 acres. The permit was issued on October 26, 1978 to Marten Marietta Cement for a 196-acre area. The permit was amended in 1987 to add an additional 12.8 acres to the south. On August 17, 2001, the permit was transferred to CEMEX, Inc. Technical Revision 01 (TR-01) was filed by CEMEX on August 4, 2003 to address the construction of the substation constructed by Poudre Valley Rural Electric Association, Inc. and the retention of roads throughout the site.

The reclamation plan calls for slopes to be reclaimed to 3h:1v and reference is also made to 2h:1v reclaimed slopes. The required topsoil replacement depth ranges from 6"-10." The reclamation plan calls for the site to be seeded with a dryland seed mixture at a rate of 25 to 75 pounds per acre. Ammonium nitrate fertilizer is then applied at a rate of 200 to 300 pounds per acre to facilitate growth.

Topsoil Replacement and Revegetation- Topsoil has been hauled in and spread over the lower area of the C-Pit. This work was conducted in response to the Division's inspection of December 6, 2002 that identified erosion problems in the area. According to George Martin, approximately 5,000-6,000 tons of topsoil was replaced on 4-acres of disturbed land in the fall of 2003. The area was revegetated in February, 2004 with a dryland seedmixture. Vegetation was starting to emerge in this area, but may take a few years to fully establish. The operator will need to control the presence of noxious weeds in this area if they are present. All parties should be reminded that vegetation must be established before the site can be released in its entirety.

Rocks- Large rocks were pushed over the edge of the B-Pit into undisturbed land within the permit boundary. The rocks are located on the west side of the B-pit where mining did not occur. The rocks vary in size from 6" in diameter to over 2 feet in diameter. The rocks appear to be remnants of blasted overburden and limestone mined from the quarry in the 1990's. The natural slope of the undisturbed area is 2h:1v or less. Access to these steep slopes is limited in nature, and the additional rocks should not pose any additional hazard or conflicts to the postmining land use of rangeland. The Division does not believe that these rocks conflict with the postmining land use of rangeland, and do not need to be removed by the operator.

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MINE ID # OR PROSPECTING ID # M-1977-341
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Existing Roads on Site- CEMEX submitted TR-01 to address roads constructed within the A and C Pits that were not identified in the Reclamation Plan Map of June 11, 1987. The landowner consented to leaving the roads in place in a letter dated June 25, 2003. On November 12, 2003, the Division notified the landowner of the pending revision. The retention of the roads do not conflict with the postmining land use of rangeland, therefore, the revision was approved.

I & R Contact Address

NAME Mr. John Lohr
OPERATOR CEMEX, Inc.
STREET P.O. Box 529
CITY/STATE/ZIP Lyons, CO 80540

☐ CE
☐ BL
☐ FS
☐ HW
☐ HMWMD (CH)
☐ SE
☐ WQCD (CH)

Cc: Carl Mount; DMG (via electronic transmission)

Mr. Terry Parrish
15715 parrish Road
Berthoud, CO 80513



COLORADO DIVISION OF MINERALS AND GEOLOGY
MINERALS PROGRAM INSPECTION REPORT
PHONE: (303) 866-3567

[Handwritten signature]

The Division of Minerals and Geology has conducted an inspection of the mining operation noted below. This report documents observations concerning compliance of the mining operation with the permit and the regulations of the Mined Land Reclamation Board. The report notes 1) Areas of successful compliance; 2) Problems and suggested corrective actions and/or 3) Possible violations to be considered for possible enforcement action by the Mined Land Reclamation Board. **OPERATORS SHOULD READ THIS REPORT CAREFULLY BECAUSE IT MAY REQUIRE CORRECTIVE ACTION AND/OR RESPONSES TO THE DIVISION IN ORDER TO AVOID CONSIDERATION OF POSSIBLE ENFORCEMENT ACTION BY THE MINED LAND RECLAMATION BOARD.**

MINE NAME: Larimer Quarry OPERATOR: CEMEX, Inc.

COUNTY: Larimer MINERAL: SDG TYPE OF OPERATION: 112

INSPECTOR(S): Erica Crosby
MINE ID # OR PROSPECTING ID #: M-1977-341

INSPECTION DATE: 9/01/04

DATE OF COMPLAINT: NA

INSPECTOR'S INITIALS: ESC

TIME OF DAY (MILITARY): 10:30

INSPECTION TYPE CODE⁽¹⁾: MI

POST INSP. CONTACTS⁽²⁾: NO

JOINT INSP. AGENCY CODE⁽²⁾: NO

REASON FOR INSP. CODE⁽³⁾: IE

WEATHER CODE⁽⁴⁾: CR

BOND CALCULATION TYPE⁽⁵⁾: BC

OP. REP. PRESENT: George Martin; CEMEX, Inc.

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GENERAL INSPECTION TOPICS

(AR) RECORDS.....	<u>Y</u>	(FN) FINANCIAL WARRANTY.....	<u>Y</u>	(RD) ROADS.....	<u>Y</u>
(HB) HYDROLOGIC BALANCE.....	<u>Y</u>	(BG) BACKFILL & GRADING.....	<u>Y</u>	(EX) EXPLOSIVES.....	<u>Y</u>
(PW) PROCESSING WASTE/TAILING.....	<u>Y</u>	(SF) PROCESSING FACILITIES.....	<u>Y</u>	(TS) TOPSOIL.....	<u>Y</u>
(MP) GENL MINE PLAN COMPLIANCE.....	<u>Y</u>	(FW) FISH & WILDLIFE.....	<u>Y</u>	(RV) REVEGETATION.....	<u>Y</u>
(SM) SIGNS AND MARKERS.....	<u>Y</u>	(SP) STORM WATER MGT PLAN.....	<u>Y</u>	(SB) COMPLETE INSP.....	<u>Y</u>
(ES) OVERBURDEN/DEV. WASTE.....	<u>Y</u>	(SC) EROSION/SEDIMENTATION.....	<u>Y</u>	(RS) RECL PLAN/COMP.....	<u>Y</u>
(AT) ACID OR TOXIC MATERIALS.....	<u>NA</u>	(OD) OFF-SITE DAMAGE.....	<u>NA</u>	(ST) STIPULATIONS.....	<u>NA</u>

Y = Inspected and Found in Compliance
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MINE ID # OR PROSPECTING ID # M-1977-341
INSPECTION DATE 9/01/04

INSPECTOR'S INITIALS ESC

OBSERVATIONS

This was an inspection of the Larimer Quarry conducted by Erica Crosby of the Division of Minerals and Geology. George Martin of CEMEX, Inc. was present during the inspection.

The purpose of the inspection was in regard to an acreage reduction request (AR-01) submitted by CEMEX, Inc. The request was submitted on July 12, 2004, and requested a release of 283.8 acres of the 288.8 permit area. The operator should be aware that the site is permitted for 208.8 acres (196 acres under the 1977 submittal and 12.8 acres under AM-01). Unless the operator can demonstrate that the site was permitted for 288.8 acres, the Division will use 208.8 as the permitted acreage. Regardless, the operator is requesting that all but 5 acres of the C-Pit be released.

The Larimer Quarry permit was issued on October 26, 1978 to Marten Marietta Cement for a 196-acre area. The permit was amended in 1987 to add an additional 12.8 acres to the south. On August 17, 2001, the permit was transferred to CEMEX, Inc. Technical Revision 01 (TR-01) was filed by CEMEX on August 4, 2003 to address the construction of the substation owned by Poudre Valley Rural Electric Association, Inc. and the retention of access roads throughout the site.

The quarry is divided into 4 distinct mining areas, Pits A, B, C and D. Mining and reclamation occurred concurrently until the mid-1990's. The reclamation plan calls for slopes to be reclaimed to 3h:1v, and reference is also made to 2h:1v reclaimed slopes. The required topsoil replacement depth ranges from 6"-10." The reclamation plan calls for the site to be seeded with a dryland seed mixture at a rate of 25 to 75 pounds per acre. Ammonium nitrate fertilizer is applied at a rate of 200 to 300 pounds per acre to facilitate growth. The postmining land use is rangeland habitat.

Pits A, B, portion of C and D have been reclaimed to slopes 3h:1v, replaced with topsoil and revegetated. The landowner is currently grazing the site. Grasses are well established within the permit area, and no significant erosion features were noted. The operator has achieved the postmining land use of rangeland in the release requested areas.

A five (5) acre portion of the C-Pit is excluded from the acreage reduction request. Topsoil was hauled in and spread over 5 acres of the lower area of the C-Pit in the fall of 2003. This work was conducted in response to the Division's inspection of December 6, 2002 that identified erosion problems in the area. Approximately 5,000-6,000 tons of topsoil was replaced on 4-acres of disturbed land. The area was revegetated in February, 2004 with a dryland seedmixture. Vegetation in the form of perennial grasses is establishing. A few annual weeds were observed (Blazing Star), but common for first year growth. Large erosion features were noted at the base of the slope that will need to be repaired by the operator. Gullies range in size from 1 foot to 4 feet. The establishment of vegetation should reduce the erosion potential. However, the existing gullies are large enough to require repair. The Division will not release the \$28,000.00 bond until the erosion features have been repaired and approved by the Division.

In summary, CEMEX has achieved the postmining land use in pits A, B, portions of C, and D. Therefore, the Division will approve the acreage reduction request from 208.8 acres to 5 acres (for a total reduction of 203.8 acres). The 5 acres in the C-Pit noted above and the \$28,000.00 bond will remain for Larimer Quarry.

I & E Contact Address

NAME Mr. John Lohr
OPERATOR CEMEX, Inc.
STREET P.O. Box 529
CITY/STATE/ZIP Lyons, CO 80540

- ☐ CE
- ☐ BL
- ☐ FS
- ☐ HW
- ☐ HMWMD (CH)
- ☐ SE
- ☐ WQCD (CH)

Cc: Carl Mount; DMG
Maureen Jacoby; Banks & Gesso